

So You Want to Be Your Own Boss?

At some point in your career, you may decide that you'd like to start your own business instead of working for someone else. Let's assume you've already thoroughly researched the viability of your idea for a business, prepared a business plan, and are confident that you have the skills, discipline, and work ethic necessary to be successful on your own. Here is what else you need to consider:

- Can you live without a steady income for an undetermined period of time? Before you give up your day job, you should have a healthy savings account to fall back on while you build a customer base, especially if the business is seasonal or cyclical.
- Will there be start-up costs? Do you have a solid, detailed estimate of what they'll be? Have you prepared a budget detailing projected monthly costs and estimated sales? Talk to your banker and find out what financing options are available, if any, and what's required in order to qualify for them.
- Have you thought about the legal form your business will take? Read up on the subject or talk to an accountant about the pros and cons of being a sole proprietorship versus a partnership or corporation.
- Have you familiarized yourself with the laws regulating your business and made a plan to comply with local ordinances and laws regarding business licensing, safety, workers' compensation, and sales tax?
- Have you talked to your insurance agent? If you're running a business out of your home, you may need a rider to your homeowner's insurance policy. If you have employees, you'll need workers' compensation and liability insurance. If you have inventory, you'll want property insurance.
- What about the tax issues? You'll be required to file quarterly federal and state estimated taxes for yourself or, if you have employees, you'll need to register to withhold and submit income and other taxes to the state and federal government and file quarterly and annual payroll tax returns. Who will do your payroll and prepare and file these reports?